Mag 7 Algo: Adjustments Brief

What to change, with screenshots from the Oct 30 paper session

For the developer who has the code logic. The owner's overall read is that the model is doing well in paper mode, and these are refinements, not a rewrite. This was written from the owner's notes and screenshots, so verify each item against the code. Items marked [CONFIRM] need an answer from the owner. Alert bodies use Eastern time (ET). The Discord footers show the owner's local time (3 hours earlier, so 09:49 ET shows as 6:49 AM).

Summary

#	Change	Priority
1	Allow overnight holds on any weekday, not only Tuesdays and Thursdays	P1
2	Stop alerts from the older model version reaching Discord	P0
3	Remove the duplicate alert: drop "awaiting fill" on entries and exits, keep only the filled alert	P0
4	Limit the algo to one call alert and one put alert per day	P0
5	Detect real institutional volume clustering, not early or weak clusters	P1 (hardest)
6	Do not exit a winner on a weak "opposite cluster"; hold longer when warranted	P1
7	Wording and compliance fixes noticed in the screenshots	P0

The Oct 30 TSLA session, in order

This one session shows most of the issues. All four trades are paper trades on options expiring Oct 30.

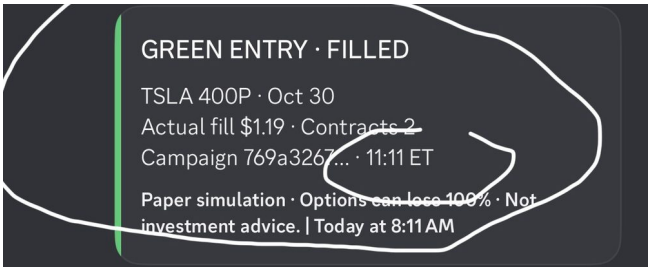
Time (ET)	Event	Reason shown
09:49	GREEN ENTRY filled: TSLA 395C, $2.15 x 2	(entry)
11:05	RED EXIT filled: TSLA 395C, $6.50 x 2, +202.3%	Confirmed opposite put cluster
11:10 / 11:11	Entries within a minute: NVDA 205C, then TSLA 400P at $1.19 x 2	(entry)
13:22	RED EXIT filled: TSLA 400P, $2.23 x 2, +87.4%	Confirmed opposite call cluster
13:25	GREEN ENTRY proposed: TSLA 397.5C, indicative $2.06, 1 contract	(entry)



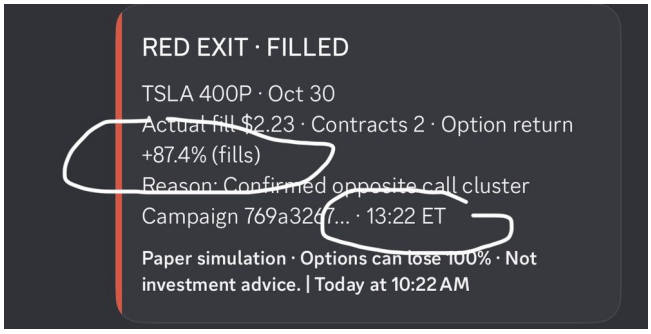
TSLA 395C entry, filled at 09:49 ET.



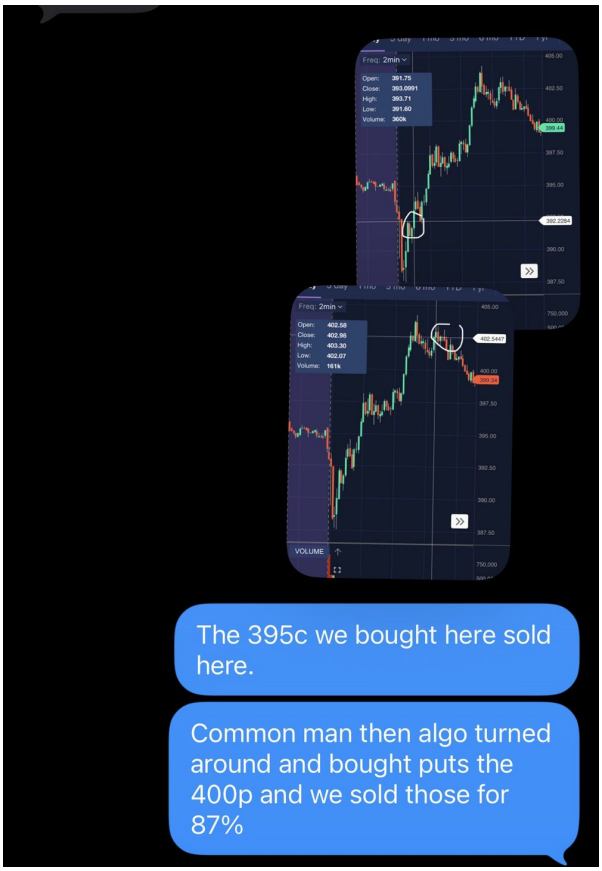
TSLA 395C exit, 11:05 ET: reason was an opposite put cluster.



TSLA 400P entry, filled at 11:11 ET (circled by the owner).



TSLA 400P exit, 13:22 ET: reason was an opposite call cluster (circled).



The owner's chart notes: the 395C was bought near 392 and sold near 402.5; the algo then bought the 400P, which was sold for +87%.

1. Overnight holds on any weekday

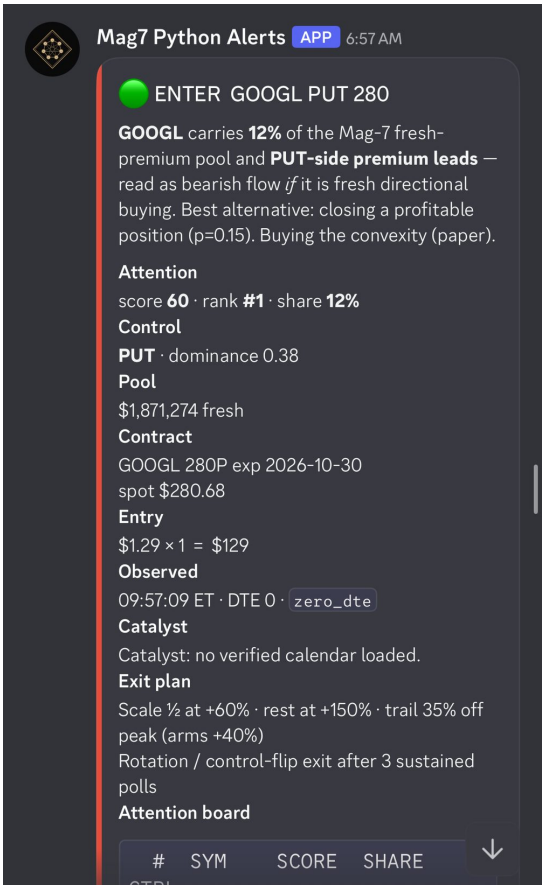
What we see. The model can trade calls and puts many times in a session, but it does not carry options overnight, except on Tuesdays and Thursdays.
What we want. Allow an overnight hold on any weekday. Not every 0DTE day needs 0DTE options. Some days are consolidated, with positioning built for a move that happens after hours or in the next pre-market. Carrying the position past the close makes the contract a 0DTE the next session.
Needs a rule for when the model chooses to carry overnight. [CONFIRM: owner to define the conditions, such as consolidation plus positioning]. Suggested controls for the developer to propose:

- A cap on premium carried overnight, and a note that gap risk exists.
- Expiry selection that is intentional, so a contract is never carried into expiry by accident.
- A defined review at the next open (09:30 ET) using the same cluster logic as entries.
- Alerts labeled "carried overnight" so the next session's alerts make sense.

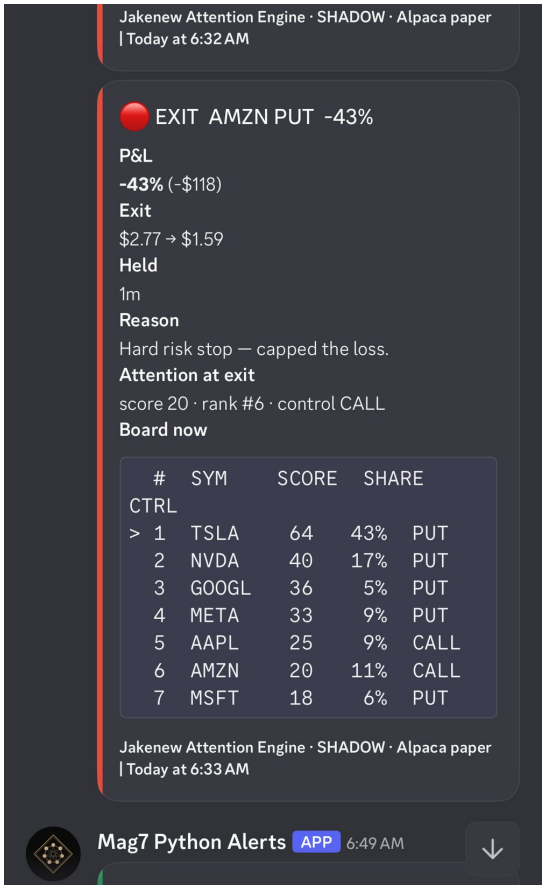
Done when: a position opened on a Monday, Wednesday or Friday can be carried and is reviewed at the next open. A replay shows overnight holds on days other than Tue and Thu.

2. Remove alerts from the older model version

What we see. The channel still receives alerts in an older format. They have a long explanation, an "Exit plan" line, an attention board table, and a footer that reads "Jakenew Attention Engine, SHADOW, Alpaca paper". The newer alerts come from "Mag7 Python Alerts".
What we want. Only the newest model posts to Discord. Find what is still posting the old format (a second scheduler, Lambda or script writing to the same webhook) and turn it off. Remove the old name from anything members can see.



Old format: ENTER GOOGL PUT 280, long explanation and an exit plan.

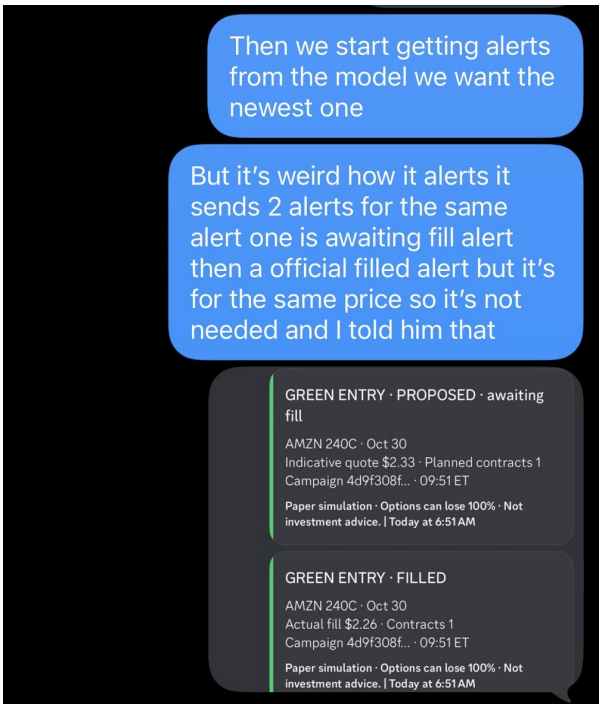


Old format: EXIT AMZN PUT, attention board, footer with the old name.

Done when: a full trading day produces zero alerts in the old format, and only one process holds the webhook credentials.

3. Remove the duplicate "awaiting fill" alerts

What we see. Each entry produces two alerts: "PROPOSED, awaiting fill", then "FILLED" a moment later. The same happens on exits. The owner has already told the developer this is not needed.
What we want. Post only the filled alert, on both entries and exits. Keep the proposal in the internal log. If a proposal never fills, nothing posts to Discord.
Note: the two alerts are not always at the same price. In the AMZN example the proposal showed an indicative quote of $2.33 and the fill was $2.26. The fill is the number to show.



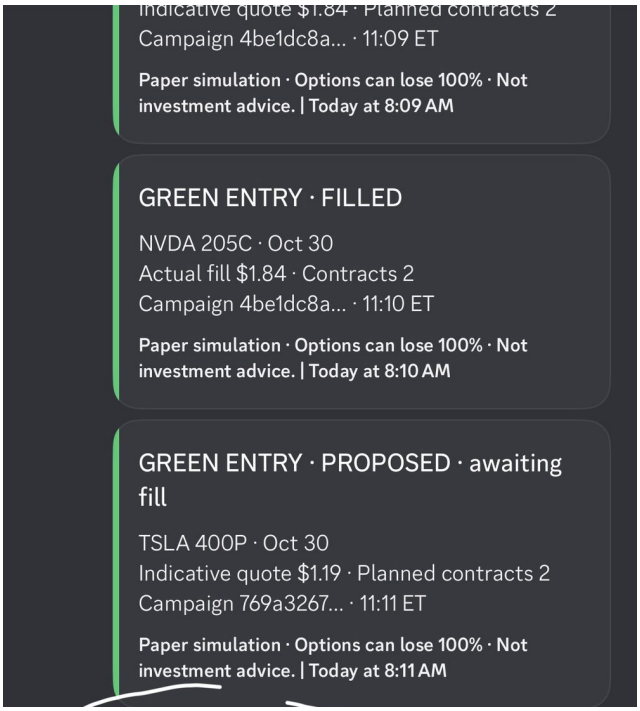
AMZN 240C Oct 30: a PROPOSED alert, then a FILLED alert, one minute apart (09:51 ET).

Done when: every position produces exactly one entry alert and one exit alert, both showing fills.

4. One call alert and one put alert per day

What we see. The model buys and sells repeatedly. In one session it traded a TSLA call, a TSLA put, a new TSLA call, and entered NVDA and AMZN calls.

What we want. At most **one call alert and one put alert per day**, to limit constant buying and selling. [CONFIRM: is the limit per day across all Mag 7 names, or per day per ticker? How does it treat a position carried overnight, and a re-entry after a stop-out?]. Exit alerts follow the entry they belong to.



Two entries within a minute: NVDA 205C (11:10 ET) and TSLA 400P (11:11 ET). The TSLA 397.5C was proposed at 13:25 ET.

Done when: a replayed day never posts more than one call entry and one put entry.

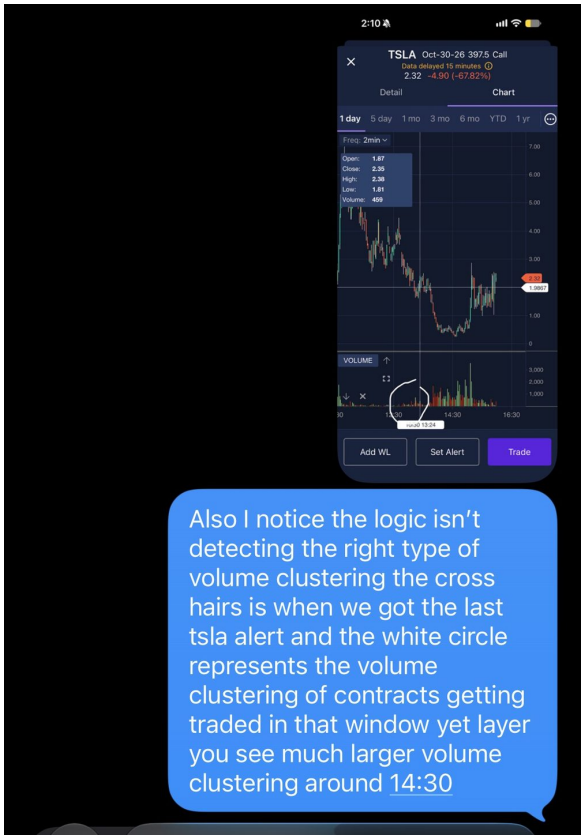
5. Detecting real volume clustering

What we see. The 13:25 ET call alert (TSLA 397.5C) fired on what the model read as a volume cluster. On the chart, the volume at that moment (circled, 13:24) is small. Much larger clustering appears later, around 14:30 and after, with bars of roughly 2,000 to 3,000+ contracts against 459 at the crosshair bar. The model alerted too early on a weak cluster.

What we want. Alerts when the model sees what looks like real institutional conviction. The owner's words: it is hard to define, but "when I see it I'll know". That means the definition has to be built from examples.



TSLA 397.5C chart. Crosshair at 13:24 (circled) shows the early, small volume. Larger clusters follow. Brokerage chart, 15-minute delayed.



The owner's note to the developer about the same chart.

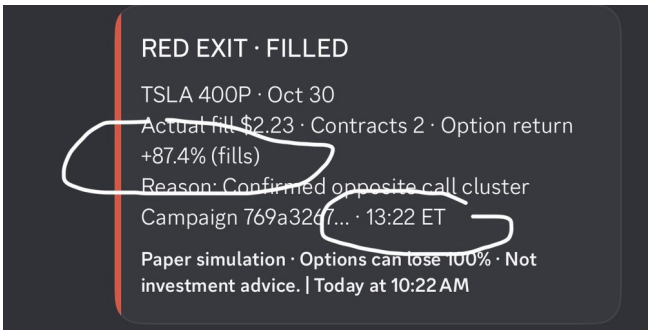
Suggested approach (developer to refine)

1. **Normalize by time of day.** Compare each 2-minute window to the same time on prior sessions and to earlier windows the same day. Volume is naturally heavier near the open and close.
2. **Cluster across strikes and expiries** near the money, not on a single contract. Add up call and put premium in short rolling windows.
3. **Require persistence.** Several consecutive windows above the threshold, or a clear build-up, not one bar.
4. **Use aggressor side.** Classify trades at the ask or bid with live quotes (Advanced plan). Weight ask-side buying, block prints and repeated same-size prints.
5. **Judge size relative to the name's normal activity**, in contracts and in dollars.
6. **Check confirmation.** The underlying and option price should support the flow, with no immediate reversal.
7. **Output a score and tiers** (for example Weak, Building, Confirmed). Entries need Confirmed. Keep every threshold in config.
8. **Test against labeled examples.** The 13:24 TSLA window should NOT qualify. The clustering from about 14:30 should. The owner will supply more examples [CONFIRM], and the developer reports how many entries per day each setting produces.
9. **Log the inputs** behind every cluster decision, so each alert can be reproduced.

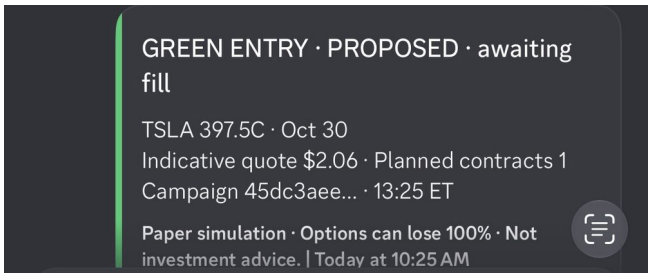
6. Exits: hold longer when the opposite cluster is weak

What we see. The 400P was exited at 13:22 ET because of a "confirmed opposite call cluster". The owner believes that cluster was not real, and the puts could have been held longer.
What we want. Do not exit a winning position on a weak opposite signal.

- An opposite-cluster exit needs the same "Confirmed" bar as a real entry, or a higher one.
- Use hysteresis: it should take more evidence to exit than it took to enter.
- Consider a minimum hold time and a trailing stop that gives the position room.
- Compare the results on the Oct 30 TSLA example before and after the change.



The 400P exit at 13:22 ET on an opposite call cluster.



Three minutes later: TSLA 397.5C proposed at 13:25 ET.

7. Wording and compliance fixes noticed in the screenshots

These were not in the owner's list, but they matter because paying members will see these messages.

- **"Actual fill" in a paper simulation.** Change the label to **Simulated fill**. "Actual" suggests a real trade.
- **Return percentages** such as +87.4% and +202.3% are simulated results shown to paying members. Have the owner's attorney review this. Until then, consider keeping returns in the internal log and out of member-facing alerts, or label them clearly as simulated with their limitations.
- **Trade-call style titles** (GREEN ENTRY, RED EXIT, ENTER, EXIT) and lines such as "Planned contracts" and "Exit plan" read like instructions. Prefer neutral wording, for example "Model opened a simulated position". Remove "Planned contracts" and "Exit plan" from member-facing alerts.
- **Keep the footer** ("Paper simulation, options can lose 100%, not investment advice"), and add "Education only".
- **Webhook name:** rename "Mag7 Python Alerts" to **Mag 7 Algo**.
- **Campaign IDs** in alerts are internal. Consider hiding them from members.
- **Webhook URLs** have been exposed in screenshots. Rotate them and keep them in AWS Secrets Manager.

Open questions for the owner

1. Is the one-call, one-put limit per day across all names, or per ticker? How should carried positions and re-entries count?
2. What conditions make the model carry a position overnight, and what size and risk limits apply?
3. A set of labeled examples of real and false volume clusters (dates, tickers, times).
4. Which process or webhook posts the old-format alerts?
5. Should returns be shown to members at all? (Needs attorney review.)

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